CHAPTER

9

MONEY AND BANKING

Learning Objectives

The students will learn:

- *Definition of money, its kinds and its functions: Primary, secondary and contingent.*
- *The meaning of inflation and difference between demand – pull and cost – push inflation.*
- *The functions of commercial banks and central bank.*
- *The credit creation by commercial bank and its limitations.*
- *The methods by which the central bank can control credit: quantitative and qualitative.*

Course of Action
Maximum Time = 3:15 Hrs
Maximum Questions = 63

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Money
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Topic-1 Money

Concepts covered: Barter System, Money, Kinds of Money, Functions of Money, Supply of Money

Revision Notes

- **Exchange :** It is a type of trade in which people get goods they need by giving other goods or money.
- **Barter system :** Direct exchange of goods against goods without use of money is called barter system.

  Example, a man produces apples and needs cloth while another man produces cloth and needs apples. Under barter system, both these men will exchange their commodities without the use of money.
- **Problems of barter system :** (1) Lack of double coincidence of wants, (2) Lack of common measure of value, (3) Lack of standard for deferred payments, (4) Difficulty in storing wealth, and (5) Indivisibility of goods.

Scan to know more about this topic

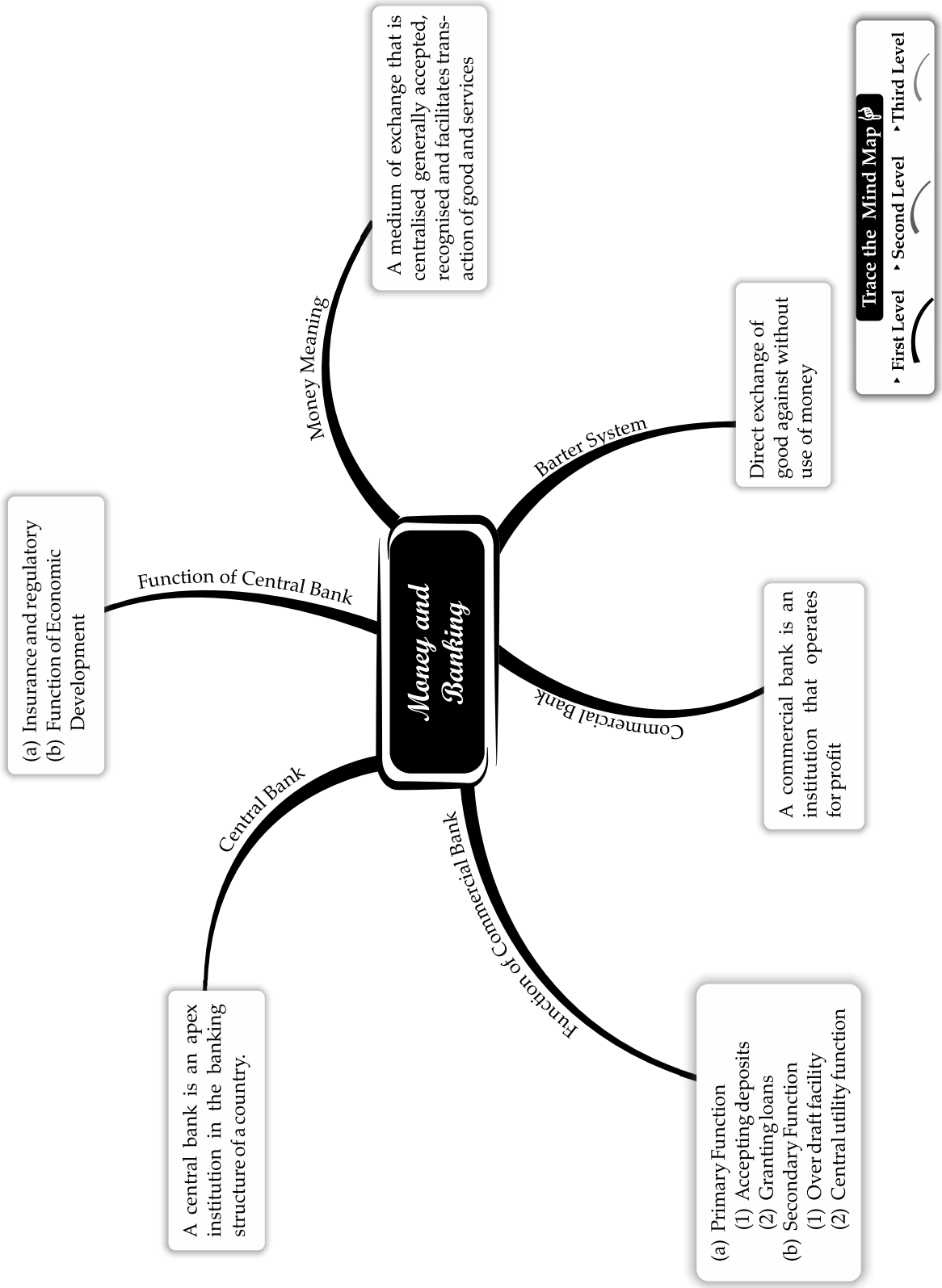
Money : Meaning and functions

- **Money** : Money is a liquid asset used to facilitate transactions of value. It is used as a medium of exchange between individuals and entities. It's also a store of value and a unit of account that can measure the value of other goods.
- **Kinds of money :**

1. **Commercial bank money :** It is consists mainly of deposit balances that can be transferred either by means of paper orders (e.g., checks) or electronically (e.g., debit cards, wire transfers, and Internet payments). Some electronic-payment systems are equipped to handle transactions in a number of currencies.
2. **Fiduciary money:** Fiduciary cash, currency or money, alludes to bank notes and coins available for use in the economy. This is the liquidity accessible to financial actors to do exchanges. It is a method for payment. Cash is a substantial or tangible property, not at all like scriptural cash which is insignificant.
3. **Fiat money:** Fiat money is a government-issued currency that is not backed by a commodity such as gold. Fiat money gives central banks greater control over the economy because they can control how much money is printed. Most modern paper currencies, such as the U.S. dollar, are fiat currencies.

- **Functions of money** :

1. **Primary functions:** (a) Medium of Exchange, (2) Measure of Value.


Money and Banking
Money Meaning
A medium of exchange that is centralised generally accepted, recognised and facilitates transaction of good and services
Barter System
Direct exchange of good against without use of money
Commercial Bank
A commercial bank is an institution that operates for profit
Function of Commercial Bank
(a) Primary Function
(1) Accepting deposits
(2) Granting loans
(b) Secondary Function
(1) Over draft facility
(2) Central utility function
Central Bank
A central bank is an apex institution in the banking structure of a country.
Function of Central Bank
(a) Insurance and regulatory
(b) Function of Economic Development
Trace the Mind Map
First Level
Second Level
Third Level

2. **Secondary functions** : (a) Standard for Deferred Payments (b) Store of Value (c) Transfer of Value.
3. **Contingent functions** : (a) Basis of distribution of national income (b) Basis of credit (c) Basis of maximum satisfaction (d) Guarantee of solvency (e) Bearer of option

- **Supply of money :** Money supply or supply of money is the total amount of money available in an economy. In other words, money supply refers to the volume of money held by the people in the country for transaction or settlement of debts.
- **Components of money supply :** (1) Currency (2) Demand deposits with bank (3) Time deposits with bank (4) Savings deposits (5) Deposits with post offices (6) Other deposits with RBI
- **Measures of money supply** : In India, RBI uses four measures of money supply. These are M_1, M_2, M_3, and M_4.

  $M_1 = C + DD + OD$

  $M_2 = M_1$ + savings deposits with post office

  $M_3 = M_1$ + Time deposits of public with banks

  $M_4 = M_3$ + Total deposits with the post offices
- **High powered money :** It is the sum of (i) Currency held by the public, (ii) Cash reserve of the banks.

  $H = C + R$
- **Inflation :** Inflation is the rate of increase in prices over a given period of time. Inflation is typically a broad measure, such as the overall increase in prices or the increase in the cost of living in a country.
- **Demand-pull inflation :** Demand-pull inflation is when there is an increase in aggregate demand, and the supply remains the same or decreases. When supply cannot meet growing demand, prices for goods and services are pulled higher.
- **Cost push:** Cost push inflation is inflation caused by an increase in prices of inputs like labour, raw material, etc. The increased price of the factors of production leads to a decreased supply of these goods.

SUBJECTIVE TYPE QUESTIONS

1 Mark Questions

Q.1. Give the meaning of money supply? [OEB]

Ans. Money supply can be defined as the total stock of money available with the public at a given point of time.

Q.2. Mention any two components of M_1 measure of money supply. [OEB]

Concept Applied	Measure of Money Supply

Ans. Two components of M_1 measure of money supply are currency with the public and demand deposits.

Q.3. Give the meaning of money. [OEB]

Q.4. State the meaning of demand deposits? [OEB]

Ans. Demand deposits can be defined as those deposits which can be withdrawn on demand. It includes cheques and saving accounts, etc.

Q.5. State the reason for the following feature of money supply: [OEB]
"Money supply is a stock concept."

Ans. The money supply is a stock concept because it is measured at a given point of time.

2 Marks Questions

Q.1. Indian rupee is a legal tender. Justify this statement. [ISC Specimen Paper, 2023-24]

Ans. Indian rupee is a legal tender in India as it is accepted by the government as a medium of exchange. No authority in India can deny the acceptance of Indian rupee in India.

Q.2. State any two secondary functions of money. [ISC 2023]

Ans. The two secondary functions of money are:
(i) Standard of deferred payment.
(ii) Store of value.

Q.3. Differentiate between demand pull and cost push inflation. [ISC Semester-II, 2022]

Ans. The difference between demand pull and cost push inflation are:

S. No.	Basis of Distinction	Demand Pull Inflation	Cost Push Inflation
(i)	Origin	Demand pull inflation is the inflation originating from the demand forces.	Cost push inflation originates by the forces operating from the supply side as well.
(ii)	Meaning	When the aggregate demand increases at a faster rate than aggregate supply, it is known as demand-pull inflation.	When there is an increase in the price of inputs, resulting in decrease in the supply of outputs, is known as cost-push inflation.
(iii)	Represented as	Represents as How price inflation begins?	Represent as Why inflation is so difficult to stop, once started?

This question is for practice and its solution is available at the end of the chapter

(iv)	Cause	The reason for demand-pull inflation is the monetary and real factors like increase in money supply, government spending and foreign exchange rates.	Caused by Monopolistic groups of the society. The reason for cost-push inflation is mainly the monopolistic groups of the society, increase in wage, cost or increase in profit margins.
(v)	Policy Recommendation	Monetary and fiscal measures.	Administrative control on price rise and income.
(vi)	Reason for occurrence	It is a type of inflation which occurs when aggregate demand for products and services outruns aggregate supply due to monetary factors and/or real factors.	Cost push inflation means the increase in the general price level caused by the rise in prices of the factors of production, due to the shortage of inputs, i.e., labour, raw material, capital, etc.

[Any Two]

Q.4. Briefly explain any one primary function of money. **[ISC 2020]**

Ans. Primary functions of money:

- Medium of exchange: Money commands general purchasing power. It is generally and widely accepted as a medium for purchase and sale.
- Measure of value: Money serves as a unit of measurement in terms of which the values of all goods and services are measured and expressed.

(Any One) [ISC Marking Scheme, 2020]

Examiner's Comment

- Most candidates gave an incomplete explanation of the primary function of money. Many candidates wrote only the caption and did not explain the point. Some candidates got confused between measure of value and store of value which is the secondary function of money.

Answering Tip

- The students need to understand the topic on functions of money with the help of a flow chart with various heads and the items put under the specific heads. This will enable the students to retain the concept better. Learn 'medium of exchange' as having general purchasing power and 'measure of value' as a unit of measurement while understanding the primary functions of money.

Q.5. What is meant by High Powered Money? **[ISC 2019]**

Ans. High powered money refers to the total liability of the RBI. It consists of:

Currency held by the public.

Cash reserve with the commercial banks.

Required reserve of the commercial banks with RBI.

Other deposits with RBI.

It is also known as the monetary base or the reserve money of the country.

[ISC Marking Scheme, 2019]

Examiner's Comment

- **Common errors made by the candidates were:**
  - Not mentioning the term monetary base.
  - Not mentioning the correct components of high-powered money.
  - Not mentioning all four components of high-powered money.

Answering Tip

- Learn the concept and components of high-powered money.

Q.6. Explain the meaning of M1 and M4 supply of money. A I **[ISC 2016]**

Concept Applied | Measure of Money Supply

Ans. Meaning of M1 and M4 supply of money.

M1= Rupee/currency notes and coins with the public + demand deposit with the commercial banks + other deposits with RBI.

M4 = M1 + (net) time deposit with commercial banks + total deposits with Post Office (excluding NSC). OR

M4 = M3 + Total deposits with the post office saving organisations excluding NSCs (TDP)

[ISC Marking Scheme, 2016]

Examiner's Comment

- Several candidates committed mistakes in defining M4. M4 = M2+TDP was given by some candidates, which was incorrect. In some cases, while writing components of M1, RBI was not mentioned and while writing the components of M4, NSC was not mentioned.

Answering Tip

- Students should write all the components of M1 and M4. Mention 'RBI' while teaching M1 and 'NSC' while teaching M4.

3 Marks Questions

Q.1. Mention the components of M1, M2 and M3 measures of money supply by RBI. [ISC 2020]

Ans. M1, M2 and M3 measures of money supply by RBI:

M1 = currency with public + demand deposits with banks (current saving) + other deposits with RBI.

M2 = M1 + Saving deposits with post office saving banks.

M3 = M1 + time deposits with banking system

[ISC Marking Scheme, 2020]

Examiner's Comment

- Most candidates did not mention all the components of M1, M2 and M3 measures of money supply by RBI. Many candidates stated M2 = M1+ savings deposit whereas the correct answer is savings deposit with post office savings bank. Similarly, M3 = M1+ time deposit was stated instead of time deposit with banking system. For M1, some candidates wrote abbreviated answers such as, M1= C+DD+OD.

Answering Tip

- The students need to practice writing complete answers. They should be not writing abbreviations. The students need to be well versed with the formulae. Learn the components of M1, M2 and M3 through a table.

Q.2. Explain two secondary functions of money. [ISC 2019]

OR

Explain any two secondary functions of money. [ISC 2015]

Concept Applied	Secondary Functions

Ans. The secondary functions of money are:

(i) Standard for Deferred Payments: Money acts as a standard of deferred payment. It means payment to be made in future can be expressed in terms of money. This function of money has been derived from medium of exchange function of money. In modern economy, many transactions involve the deferred payment. It is possible to accept money as a standard of deferred payment because money has a general acceptability, and it can be expressed in definite and standardized units. For example, A lends ₹ 1,000 to B for a year. He knows well what he will receive after a year. On the other hand. A lends 1 kg rice to B for a year, it is not definite that he will receive back the rice of same quality as he lends out now.

(ii) Store of Value: Money acts as a store of value. It means people can store their wealth in the form of money. Before the evolution of money it was not always possible to store the wealth. As the perishable commodities. i.e., wheat, rice, vegetables, which were not needed at a time, could not be stored for a long time, money has facilitated the store of value. Though there are some other things which can be stored like money as gold, bond, shares, debentures, etc. but money is considered a better storage of value particularly in one respect, that is as a perfectly liquid asset, which means that it is readily and generally acceptable means of payment. It possesses the immediate purchasing power which other goods does not. Thus, in the form of money, purchasing power can be stored and can be used, at any time as and when needed.

(iii) Transfer of Value: Money serves as a convenient mode of the transfer of value because of its general acceptability and the merit of liquidity. It helps to transfer the value of goods, services, assets, properties and also the income of the persons from one person to another. **[Any Two]**

Examiner's Comment

- Some candidates were unaware of the meaning of deferred payment. Some candidates did not explain about money being a liquid asset and the most durable asset for store of value. A few candidates explained the primary functions of money instead of its secondary functions.

Answering Tips

- Learn separately, all the types of functions of money i.e. primary, secondary and contingent functions along with their various components.
- Learn the terms deferred, durable and liquid assets.

Q.3. Explain the following terms: [ISC 2018]

(i) Fiat money

(ii) Deposit money

(iii) Token money

Ans. (i) Fiat money is inconvertible paper money and is issued on the order of the government and declared as a legal tender.

(ii) Deposit money refers to deposits held with the banks on the basis of which cheques could be drawn.

(iii) Token money is money where the face value is higher than the intrinsic value.

[ISC Marking Scheme, 2018]

Examiner's Comments

- Many candidates, in their definition of Fiat money, did not write that it is issued on the order of the government.
- While defining Deposit money, several candidates did not mention that it is used by issuing cheques.
- Token money was explained by several candidates as actual value instead of face value.

Answering Tip

- Focus on the fact that Token money is those notes and coins whose face value is higher than their intrinsic value.

Q.4. Explain the following contingent functions of money: [ISC 2017]

(i) Employment of factor inputs.

(ii) Basis of credit system.

Ans. Contingent functions are those functions of money which help the producer, consumer etc. to take economic decisions.

(i) Employment of Factor Inputs: A producer while employing the factors of production will aim at maximising profits. An entrepreneur will equate marginal productivity of a factor with its price. Wages are expressed in terms of money. Thus, it will help the producers to take a decision with regard to the units of factors of production to be employed.

(ii) Basis of Credit System: In the modern credit system credit plays a very important role. All the commercial activities are highly dependent upon the credit system. Credit instruments like cheques drafts etc. cannot be used without the existence of money. **[ISC Marking Scheme, 2017]**

Examiner's Comment

- Many candidates did not relate remuneration paid to various factors of production with marginal productivity of the factor.
- A number of candidates did not explain the working of credit system. Several candidates did not mention instruments like cheques, drafts, etc.

Answering Tip

- The students should know that credit plays an important role in commercial banks activities and also the role of money in this system.

Q.5. Explain the primary functions of money. [ISC 2016]

Concept Applied | Primary Functions of Money

4 Marks Questions

Q.1. Explain any four contingent functions of money. [OEB]

Concept Applied | Contingent Function of Money

Ans. The contingent functions of money are:

(i) Basis of distribution of national income: Distribution of National income among the various factors of production can be easily made with the use of money. Various factors contribute in the process of production. Thus, production is the outcome of various factors. These factors are recorded in terms of money.

(ii) Basis of credit: Money has facilitated the application of credit system in the economy. In modern economy, various commercial and business transactions take place on credit. It is the money which provides the basis of entire credit system. Without the existence of money, important credit instruments like cheques, bills of exchange etc. cannot be used.

(iii) Maximization of Utility: As we know a rational consumer wants to maximize his utility (or satisfaction) while purchasing various goods and services. Consumer will be able to maximize his total utility if the ratios of marginal utilities of different commodities is equal to the price ratio of different goods. For equalizing the marginal utilities, money plays an important role, because prices of a commodities are expressed in terms of money.

(iv) Liquidity of Capital: Anything can be converted into money which has general acceptability. Other things are not acceptable in their physical form as cloth car, house and land. Money is more liquid than anything mentioned.

(v) Employment of Factor Inputs: Money helps the producer in deciding how many units of a factor of production be employed. Every producer wants profit maximization while employing various factors of production. A producer whose maximum profit capacity will equate marginal productivity (expressed in value terms) of a factor with its price (rate of remuneration) and remuneration are expressed in money terms. Thus, money is helpful in taking decisions regarding employment of units of factors of production. **[Any Four]**

Q.2. Describe four important functions of Money. [ISC Specimen Paper, 2023-24]

This question is for practice and its solution is available at the end of the chapter

Q.3. Explain any four types of money. **[OEB]**

Concept Applied Types of Money

Ans. The various types of money are:

(i) Commodity money: Initially, human beings exchanged goods and services for other goods and services. In other words, commodity exchange or commodity money was more prevalent.

(ii) Metallic Money: After commodity money was phased out, metals began to be used as a medium of exchange. Under the metallic monetary system, gold and silver were the two metals that were of particular important and were widely in use.

(iii) Paper Money: With further rise in the volume of trade, paper money came into existence and was widely used. This form of money was easier to carry and store. Thus, it became a medium of exchange in almost all the countries of the world.

(iv) Bank money and credit money: Bank money can be said to be the most convenient and durable form of money. Nowadays, individuals frequently use credit money in the form cheques, drafts, credit cards etc.

(v) Plastic money: Plastic money in the form of debit cards has also emerged as an attractive medium of exchange. Moreover, net banking facilities and online transactions have further reduced the risks involved in carrying paper money.

(vi) e-money: e-money or Electronic money in the form of electronic funds transfer through the internet or through UPI. **[Any Four]**

Topic-2 Banking

Concepts covered: Functions of Commercial Bank, CRR, LRR, Central Bank, Methods of Credit Control

Revision Notes

- **Bank :** The word Bank is supposed to have been derived from German word Bank. A few believe that the word Bank has been derived from bancus or banque which means a bench that money changers used to change one kind of money into another.
- **Commercial bank :** A commercial bank is an institution that operates for profit. It accepts deposits from the general public and extends loans to the households, the firms and the government.
- **Functions of commercial banks :**

(a) Primary functions :
(i) Accepting deposits
(ii) Granting loans
(iii) Credit creation

(b) Secondary functions :
(i) Overdraft facility
(ii) Discounting bills of exchange
(iii) General utility functions

Scan to know more about this topic
Banking

- **Credit Creation by commercial banks :** The power of commercial banks to expand deposits through loans, advances and investments is known as credit creation.
- **Cash Reserve Ratio (CRR) :** Cash Reserve Ratio (CRR) is a specified minimum fraction of total deposit of customers, which commercial banks have to hold as reserves either in cash or as deposits with the central bank.
- **Primary Deposits :** Primary deposit are those deposits which people deposit in cash in their own account with bank.
- **Derived Deposits :** Derived deposits are the result of primary deposits because banks provide loans on the basis of primary cash deposits. Derived deposits are also called credit deposits.
- **Total Deposits :**

$$\text{Total Deposits (TD)} = \frac{\text{Primary Deposits } (P)}{\text{Cash Reserve Ratio } (r)}$$

- **Legal Reserve Ratio (LRR) :** LRR is the minimum ratio of deposit legally required to be kept as liquid assets by the bank. It has two variants :

(a) Cash Reserve Ratio (CRR), and (b) Statutory Liquidity Ratio (SLR)

- **Money Multiplier :** Money multiplier is the fractional quantity of money created by the banks. It is calculated as:

$$\text{Money Multiplier} = \frac{1}{\text{Legal Reserve Ratio}}$$

Example: The legal reserve ratio= 20%, the money multiplier will be = 1/0.20= 5.

- **Central Bank :** A central bank is the apex institution in the banking structure of a country. It supervises, controls and regulates the activities of the commercial banks and acts as a banker to them. The Reserve Bank of India (RBI) is the central bank of India.
- **Functions of central bank :** The functions of central bank can broadly be studied under two headings:

(a) Issuance and regulatory functions : (1) Monopoly of note issue (2) Banker's fiscal agent and Advisor to the government (3) Banker's bank (4) Lender of the last resort (5) Custodian of foreign exchange reserves (6) Clearing house function (7) Control of credit

(B) Functions of economic development : (1) Money and capital market (2) Industrial credit (3) Agriculture credit (4) Export assistance (5) Price stability (6) Exchange Rate

- **Credit control by central bank :** This is also called monetary management. This means to regulate money and credit in such a way it may satisfactorily meet the demand for money needed for trade, business and economic activities.

➢ **Methods of credit control :**

- **Quantitative methods :**

(i) **Bank rate :** It is the rate at which the central bank gives loans to commercial banks

(ii) **Open market operations :** It means purchase and sale of securities by central bank in the open market.

(iii) **Cash Reserve ratio :** In this method, each and every commercial bank has to keep a fixed percentage of his deposits with the central bank of the country.

(iv) **Statutory Liquidity ratio :** It is a fixed percentage of cash balances and other assets, which the commercial banks ought to keep with them in order to discharge customers liabilities in routine.

- **Qualitative methods or Selective Credit Control :** These methods are meant to regulate and control the supply of credit in the country. These include margin requirements, credit rationing, regulation of consumers credit, direct action, moral suasion and publicity.

SUBJECTIVE TYPE QUESTIONS

1 Mark Questions

Q.1. Give the difference between Central Bank and commercial bank? [OEB]

Ans. Central bank can be defined as the apex bank which acts as a banker to the banks and to the government. On the other hand, Commercial bank act as a banker to the public and accepts deposits from the public.

Q.2. Define commercial bank. [OEB]

Ans. Commercial bank is the bank which accepts deposits from the public and grants loan to the public.

Q.3. Give the meaning of Central bank. [OEB]

Q.4. One of the feature of commercial bank is they accept deposits from the public and lend money to the public through this process. How does commercial banks earn Profit thereby? [OEB]

Ans. Commercial banks by accepting deposits from the public give interest whereas by providing loans to the public create interest. The difference between these two interest rates is called as profit.

Q.5. State the factors which determine credit creation by commercial banks? [OEB]

Ans. The factors which determine credit creation by commercial banks are initial deposits, cash reserve ratio, and statutory liquidity ratio etc.

Q.6. State whether the following is True or False by giving reasons: [OEB]

Rate of interest on savings account is more than that on recurring account. **[ISC 2023]**

Ans. False.

Reason: The interest rates offered by banks on Recurring Deposit are always more than saving deposit. Since Recurring Deposit interest rates are identical to the interest rates offered in fixed deposits.

Q.7. "Commercial banks are those banks which do not have any right to issue currency in the economy." [OEB]

Ans. True

Reason: This is because only central bank has the right to issue currency in the country whereas commercial banks are responsible for creating credit in the economy.

Q.8. "Central bank creates money through credit creation process whereas commercial banks are responsible for issuing currency in the country." [OEB]

Ans. False

Reason: Central bank is responsible for issuing currency in the country whereas commercial bank is responsible for creating money through credit creation.

Q.9. "Commercial Banks act as a Banker to the public while Central Bank act as a Banker to the government." [OEB]

Ans. True

Reason: Commercial banks accept deposit from the public and provides loans to the public. Whereas Central bank act as a banker to the government and to all the commercial banks.

Q.10. "Commercial bank is only one where are Central banks are many." [OEB]

Ans. False

Reason: This is because central bank is only one apex bank whereas commercial banks are many. Commercial banks are such as state Bank of India, Punjab national bank etc.

Q.11. "Initial deposits are also called as secondary deposits." [OEB]

Ans. False

Reason: This is because initial deposits are also called as primary deposits.

2 Marks Questions

Q.1. Explain Open Market Operations as a measure to control inflation. [ISC 2023]

Ans. Open market operation is the credit control policy of Central Bank (RBI) that focuses on increasing and decreasing the stock of liquidity with the people, through sale and purchase of securities of government's assets.

By selling the securities the central Banks Soaks liquidity and by buying securities, the central banks releases liquidity.

Q.2. Explain the overdraft facility given by banks. [ISC 2018]

This question is for practice and its solution is available at the end of the chapter

Q.3. Give two differences between time deposit and demand deposit. [ISC 2017]

Ans. Time Period: Time deposits are deposited in bank for a fixed period of time (Usually 1 year to 5 years) whereas there is no fix time period involved in case of demand deposit.

Example: Fixed or term deposit is an example of time deposits whereas saving account and current account are examples of demand deposits.

Penalty: If one withdraws his or her time deposit early before the maturity then he or she has to pay penalty which is not the case with demand deposits as one can withdraw funds as and when required by him or her in case of current account and limited number of times in case of saving account.

Rate of Interest: The rate of interest offered by the banks on time deposit is higher around 7 to 9 percent whereas in case of saving and current account it is lower (which is around 4 to 6 percent).

[ISC Marking Scheme, 2017]

Examiner's Comment

- In 'time deposits', most of the candidates wrote about fixed deposits but in 'demand deposits' they only wrote about current a/c and not saving a/c.

Answering Tip

- Clearly focus on the significance of savings and current deposit as components of demand deposits.

Q.4. Explain discounting bills of exchange as one of the functions of the banks. [ISC 2015]

Concept Applied	Secondary Function of Commercial Bank

Ans. Discounting Bills of Exchange as one of the functions of the banks.

A bill of exchange is drawn by a creditor on the debtor specifying the amount of debt and also the date, normally for 90 days. The creditor can get it discounted from a commercial bank. By discounting, bank pays the money to the creditor and allows the debtor to pay when the bill is due.

[ISC Marking Scheme, 2015]

Examiner's Comment

- The time period of 90 days was not mentioned by many candidates. Some candidates discussed it considering producer and consumer instead of debtor and creditor.

Answering Tip

- The time period, i.e. 90 days is important to mention when explaining its discounting.

Q.5. "Central Bank is called the lender of last resort," Explain. [OEB]

Ans. It means that if a commercial bank fails to get financial accommodation from anywhere, it approaches the central bank as the last resort. Central bank advances loan to such a bank against approved securities. By offering loans to the commercial banks in situation of emergency, the central bank ensures that the banking system of the country does not suffer any setback and that the money market remains stable.

3 Marks Questions

Q.1. Explain the following functions of the Central Bank:

(i) Custodian of foreign exchange reserves.

(ii) Lender of the last resort. [ISC 2020]

Concept Applied	Functions of Central Bank

Ans. (i) Custodian of foreign exchange reserves: The foreign exchange reserves of every country are under the custody of the central bank of that country. The central bank maintains the foreign exchange reserves so that the international trade of the country does not suffer a setback.

(ii) Lender of the last resort: It means that if a commercial bank fails to get financial accommodation from anywhere, it approaches the central bank as the last resort. Central bank advances loan to such a bank against approved securities. By offering loans to the commercial banks in situation of emergency, the central bank ensures that the banking system of the country does not suffer any setback and that the money market remains stable.

Examiner's Comment

- **Common errors observed in a large number of answer scripts were:**

(i) Merely writing that the central bank maintains the foreign exchange reserve and not mentioning the other responsibilities of the central bank related to foreign exchange.

(ii) Not mentioning how the central bank as a lender of the last resort provides money by discounting first class bills, etc.

Answering Tip

- Explain every function of the Central Bank through a flow chart so that the students understand the manner in which the central bank assists in the export and import of the country

and converts the currency for the creation of reserves and also how it controls the exchange rate. Emphasis should be laid on the function of the central bank being a lender of the last resort. The students must have clarity about the impact of each function performed by the central bank.

Q.2. Discuss any two limitations of credit creation by commercial banks. [ISC 2019]

Ans. The following are the limitations of commercial banks to create credit:

(i) Amount of Cash: The credit creation power of banks depends upon the amount of cash they possess. The larger the cash, the larger the amount of credit that can be created by banks. The amount of cash that a bank has in its vaults cannot be determined by it. It depends upon the primary deposits with the bank. The bank's power of creating credit is thus limited by the cash it possesses.

(ii) Proper securities: An important factor that limits the power of a bank to create credit is the availability of adequate securities. A bank advances loans to its customers on the basis of a security, or a bill, or a share, or a stock or a building, or some other type of asset. It turns ill-liquid form of wealth into liquid wealth and thus creates credit. If proper securities are not available with the public, a bank cannot create credit.

(iii) Banking Habits of the People: The banking habits of the people also govern the power of credit creation on the part of banks. If people are not in the habit of using cheques, the grant of loans will lead to the withdrawal of cash from the credit creation stream of the banking system. This reduces the power of banks to create credit to the desired level.

(iv) Minimum Legal Reserve Ratio: The minimum legal reserve ratio of cash to deposits fixed by the Central Bank is an important factor which determines the power of banks of creates credit. The higher this ratio, the lower the power of banks to create credit; and the lower the ratio, the higher the power of banks to create credit.

(v) Excess Reserves: The process of credit creation is based on the assumption that banks stick to the required reserve ratio fixed by the Central Bank. If banks keep more cash in reserves than the legal reserve requirements, their power to create credit is limited to that extent. If Bank A , for example keeps 25 % of ₹ 1000 instead of 20 %, it will lend ₹ 750 instead of ₹ 800. Consequently, the amount of credit creation will be reduced even if the other banks in the system stick to the legal reserve ratio of 20 %.

(vi) Leakages: If there are leakages in the credit creation stream of the banking system, credit expansion will not reach the required level, given the legal reserve ratio. It is possible that some persons who receive cheques do not deposit them in their bank accounts, but withdraw the money in cash for spending or for hoarding at home. The extent to which the amount of cash is withdrawn from the chain of credit expansion, the power of the banking system to create credit is limited.

(vii) Cheque Clearances: The process of credit expansion is based on the assumption that cheques drawn by commercial banks are cleared immediately and reserves of commercial banks expand and contract uniformly by cheque transactions. But it is not possible for banks to receive and draw cheques of exactly equal amount. Often some banks have their reserves increased and others reduced through cheque clearances. This expands and contracts credit creation of the part of banks. Accordingly, the credit creation stream is disturbed. **(Any Two)**

Examiner's Comment

- Several candidates, instead of writing the limitations of credit creation, wrote the limitations of credit control. Many candidates were also confused between the total amount of cash reserve and cash reserve ratio.

Answering Tip

- The students need to understand the relevance of each and every item of the limitations of credit creation, discuss the assumptions of the credit creation process before learning the topic itself.

Q.3. Explain any two functions of the Reserve Bank of India. A I [ISC 2018]

Concept Applied	Functions of Central Bank

Ans. The two functions of the Reserve Bank of India are:

(i) Monopoly of note issue: The Central Bank plays the role of the sole note issuing authority in an economy. The Central Bank undertakes this function of being a monopolist in issuing currency to maintain uniformity of currency across nation and to control money supply process at a centralised level. This function also builds faith in the currency system of the economy.

(ii) Banker's fiscal agent and Advisor to the government: The Central Bank acts as a banker to both Central as well as State Governments. The Central Bank accepts receipts and makes payments for the government and carries out exchange, remittance and other banking operations. It advances credit/ loan to the government to meet its requirements in case of crisis. It also acts as an agent to buy and sell government securities and advises the government on various financial matters such as economic and money matters e.g., controlling inflation or deflation, devaluation or revaluation of the currency, deficit financing, balance of payments, etc.

(iii) Banker's bank: Central Bank, as the Banker's bank, accepts deposits from the commercial banks and offers them loans as and when required. Central Bank also provides clearing house facility to the commercial banks. In its supervisory role, it ensures that the commercial bank follow all the rules and instructions for the smooth functioning of the banking system.

(iv) Lender of the last resort: It means that if a commercial bank fails to get financial accommodation from anywhere, it approaches the central bank as the

last resort. Central bank advances loan to such a bank against approved securities. By offering loans to the commercial banks in situation of emergency, the central bank ensures that the banking system of the country does not suffer any setback and that the money market remains stable.

(v) **Custodian of foreign exchange reserves:** The foreign exchange reserves of every country are under the custody of the central bank of that country. The central bank maintains the foreign exchange reserves so that the international trade of the country does not suffer a setback.

(vi) **Control of credit:** The primary objective of credit control is to remove causes responsible for instability in price fluctuations which in turn are related to the supply of money. By controlling credit, the central bank can exercise an effective control over economic activities and mobilise it in the desired direction. Central Bank regulates the volume and use of credit by using quantitative and qualitative tools. **[Any Two]**

Examiner's Comment

- A number of candidates were unable to explain distinctively the functions of Reserve Bank as a banker's bank and its functions as a lender of the last resort. A few candidates got confused between the functions of a commercial bank and functions of the Reserve Bank.

Answering Tips

- Learn the functions of the Reserve Bank and Commercial Banks in a tabular form, clearly bringing out the differences between their functions.
- Explain that any kind of deposit like fixed deposit is not regarded as Deposit money. Only that deposit on which cheque can be drawn, is deposit money

Q.4. What is meant by repo-rate and reverse repo-rate? [ISC 2017]

Q.5. Explain the following functions of the Reserve Bank of India: [ISC 2016]

(i) Banker to the government

(ii) Issue of currency notes

Ans. (i) Banker to the government: The Central Bank maintains an account of the Government. All incomes of the Government are deposited into this account. All expenses are incurred out of this account. Government can borrow from Central Bank and the Central Bank sells the Government Bonds to the public, pays interest and repays the loan after maturity date (public debt). Advises on all financial and monetary matters.

(ii) Issue of currency notes: Reserve Bank of India has the monopoly power to issue currency notes. Control money supply, public has confidence in RBI, uniformity. **[ISC Marking Scheme, 2016]**

Examiner's Comments

- Several candidates got confused between "banker to the banks" and "banker to the government". In some cases, the explanation started properly but later candidates got confused and explained the function "lender of the last resort".
- All the required information was not included by candidates in the answer.

Answering Tips

- Learn the function of RBI as banker to the "Government" and also differentiate it with the RBI's function of banker to the banks.
- All aspects like: Uniformity of the currency, control of money supply should be analysed while studying.

4 Marks Questions

Q.1. How are deposits created through lending by commercial banks? Explain with the help of a numerical example.

[ISC Specimen Paper, 2023-24]

OR

How do commercial banks create credit? Explain with the help of an example. [ISC 2018]

OR

Explain the mechanism of credit creation by commercial banks with the help of an example. [ISC 2016]

Concept Applied	Credit Creation

Ans. Money/Credit Creation is an important function of the Commercial Banks. By creating credit, Commercial Banks contribute to money supply in the economy. They create credit in the form of demand deposits. Demand deposits of the Commercial Banks are many times more than their cash reserves. Suppose, customer deposits ₹1,000 in bank. Bank has to pay interest on this amount for which bank should lend this money to someone. A part of the amount is to be retained with bank to meet its customer's obligations. Say, if LRR is 20%, the banks will keep 20% of deposits as reserves and will lend remaining 80%, i.e., ₹800. Those who borrow will spend this money and same ₹800 will

This question is for practice and its solution is available at the end of the chapter

come back to banks in form of deposits. This raises the total deposits to ₹1,800 now. Banks again keep 20% of ₹800 as reserve and lend ₹640 to those who need it. This will further raise the deposits with banks. In this way deposits will go on increasing @ 80% of the last deposit. The number of times the total deposit will become, is determined by money multiplier, i.e., 1/LRR = 1/0.2 = 5 times.

Total deposits will be Initial Deposits × Money Multiplier = ₹1000 × 5 =₹5,000

Examiner's Comment

- Instead of explaining the process of credit creation by commercial banks through a numerical example, many candidates wrote only the general process of credit creation and yet did not explain Primary deposit and Derivative deposit. Several candidates did not explain the multiple banking systems. A few candidates wrote SLR in place of CRR.

Answering Tips

- Interpret the importance of primary deposit and secondary deposit in the process of credit creation.
- The students should focus on the fact that credit is created by multiple banking systems.

Q.2. Explain any two types of deposits of commercial banks. [ISC Semester-II, 2022]

Ans. The different types of deposits of commercial banks are:

(i) Fixed Deposits: In such deposits, the deposited amount can be withdrawn only after the period of time agreed upon by the bank and the depositor. The interest rates are higher in case of such deposits.

(ii) Savings Account: This kind of account is opened by banks with the objective of collecting small savings from the people who have small earnings and money deposits in small amounts as they like or have the opportunity, but withdrawals are allowed only once or twice a week. However, the rate of interest is less than that on fixed deposits. The current saving account interest rate is 3% per annum.

(iii) Current Account: The depositor can withdraw money from such accounts at any time. Usually no interest is paid by the bank on such deposits, but the bank charges for the services rendered on maintaining such deposits against certain securities or personal guarantee. Such deposits are mainly kept by traders and industrialists who are required to make large payments through banks

(iv) Recurring Deposit: In case of such deposits an account holder has to deposits certain fixed amount every month for a specified period. The amount accumulated with interest (cumulative deposits, is paid to the depositor after the specified period). **[Any Two]**

Q.3. "Relation Bank was facing some financial crisis due to the crisis of non-performing assets. It went to the RBI for help." Answer the following question in the light of the statement: [OEB]

(i) What role is RBI playing in this case?

(ii) Explain the function that RBI performs here.

(iii) What will Relation Bank do if RBI refuses to help it?

Ans. (i) RBI is playing the role of "Lender of Last Resort."

(ii) The RBI acts as a lender of last resort for the commercial banks. The commercial banks, when facing a financial crisis, can go to the Central Bank. The Central Bank lends money to the commercial bank, so that it can come out of the crisis and help the commercial bank.

(iii) If the RBI refuses to help Relation Bank, it has to shut down its business.

Q.4. Aditya Bank had some extra reserve with it which they can't give as loan. With respect to this statement answer the questions that follows:

(i) What option does Aditya Bank has with it? Why?

(ii) What if Aditya Bank faces debt crisis what can it do? Why? [OEB]

Ans. (i) Aditya Bank has the option to put the extra reserve in the Reserve Bank of India. This is because the RBI, acts as a Banker's Bank.

As a Banker's Bank, RBI can also hold surplus cash reserves of commercial banks. It also lends to commercial banks when they are in need of funds. RBI also provides a large number of routine banking functions to the commercial banks. It also acts as a supervisor and a regulator of the banking system.

(ii) If Aditya Bank faces debt crisis, it can go to the RBI for help.

This is because RBI acts as a lender of last resort. It is the role of RBI, of being ready to lend to banks, especially when a bank is faced with unanticipated severe financial crises.

6 Marks Questions

Q.1. Discuss the different ways in which commercial banks extend loans to their customers. [ISC 2020]

Ans. The different ways in which commercial banks extend loans to their customers are:

(i) Loans and Advances: A loan is a specified amount sanctioned to the credit of a borrower for a fixed period. However, before sanctioned to the credit of a borrower for a fixed period. The bank is required to ascertain and satisfy itself about the ability of the borrower to repay according to the soundness of his scheme or business and the genuineness of his purpose. Invariably a loan is granted against some kind of security of assets or personal security of the borrower and the interest is charged on the full amount sanctioned as loan irrespective of the fact whether full amount or part of it has been used. In

case of loan, the borrower is provided with the facility to repay the loan in instalments or as a lump-sum.

(ii) **Cash Credit:** In cash credit the bank advances a cash loan up to a specified limit to the customer against a bond or other security. A borrower is required to open a current account and bank allows the borrower to withdraw up to the full amount of the loan. The interest is charged only on the amount actually utilized by the borrower and not on the loan sanctioned.

(iii) **Bank Overdraft:** The overdraft facility is allowed to the depositor maintaining a current account with the bank. According to this facility, a borrower is allowed to withdraw more amount than what he has deposited. The excess amount so withdrawn has to be repaid to the bank in a short period and that too with interest. The rate of interest is usually charged more than that charged in case of loans. However, the overdraft facility is given only against security of some assets or on personal security of the customer.

(iv) **Discounting of Bills of Exchange:** The banks provide financial help to the merchants and exporters by way of discounting their bills of exchange. However, these merchants and exporters must be the customers of that bank. In such facility the bank pays the amount of bill presented by the customer after deducting the usual bank discount. This way the customer gets the amount of the bill before the date of its maturity. As such the bank assists its customers to a great extent by accepting their bills and providing them with liquid assets (money). Usually, a bill matures after 90 days or so and then the bank presents it to the acceptor and receives full amount of the bill.

Examiner's Comment

Common errors made by the candidates were:

- Explaining types of deposits held by the banks which was not asked for.
- Describing the entire process of credit creation while explaining how loans are given out.
- Writing about car loans, home loans, personal loans, etc.
- Not being able to explain how interest is calculated on different types of loans due to lack of clarity as to whether interest is charged on the whole amount or only on the amount withdrawn on a particular type of loan.
- Definition of overdraft not being clearly written.

Answering Tip

- Distinguish between granting of loans and creation of loans/credit. The features of the types of loans granted can be taught by means of a flow chart with stress laid on key words, for example, overdraft having the key word 'overdrawn'. It should be stressed that the procedure of discounting of bills is a part of the explanation on discounting of bills. Explain in detail, the manner in which interest is calculated on different types of loans, whether it is charged on the entire amount of the loan or on the amount actually withdrawn.

Q.2. Discuss any two qualitative methods and any two quantitative methods of credit control used by the Central Bank. **[ISC 2019]**

OR

Discuss four qualitative measures of the Central Bank to control credit in the economy. **[ISC 2017]**

Ans. (i) Quantitative Credit control:

(a) **Bank Rate:** Bank rate is the rate at which Central Bank offers loans to the Commercial Banks as a lender of last resort. During inflation, when supply of credit is to be reduced, bank rate is increased. This reduces borrowing by the Commercial Banks, implying a reduction in their cash reserve and therefore, a reduction in their capacity to create credit. Following increase in bank rate, market rate of interest is also raised, implying a check on borrowings from the Commercial Banks. Thus, overall supply of credit is reduced in the economy. Exactly opposite is done to combat deflation, bank rate is lowered to increase the supply of credit.

(b) **Repo Rate:** Repo Rate is the rate of interest at which Central Bank lends money to Commercial Banks for short period. Raising Repo Rate makes borrowing by Commercial Banks costlier. So, these banks are forced to raise their lending rates. Since, borrowing becomes costly for people, they borrow less. Banks, therefore, create less credit.

(c) **Reverse Repo Rate:** Reverse Repo Rate refers to the rate of interest paid by the Central Bank on deposits made by the Commercial Banks. When it is raised, Commercial Banks are encouraged to make more deposits with Central Bank. As a result, funds available for lending with the Commercial Banks decrease. Their capacity of lending declines and credit creation is less.

(d) **Cash Reserve Ratio (CRR):** CRR refers to the minimum proportion of the total deposits that the commercial banks has to maintain with the Central Bank in the form of reserves. A decrease in CRR, would mean that banks would be required to keep a lesser portion in form of deposits with the Central Bank. This implies that the commercial banks are left with more amount of funds to lend out. Hence, the lending capacity of the banks increase, leading to increase in the money supply. On the contrary, a rise in CRR will lead to a decrease in the money supply.

(e) **Statutory Liquidity Ratio (SLR):** Statutory liquidity ratio is the ratio of deposits kept by the commercial banks with themselves. When the Central Bank wants to increase money supply, it reduces this ratio. Banks keep less amount as reserves. The remaining part of deposit can now be used for giving loans. Credit creation capacity of bank rises. Since deposits are a part of money supply, money supply increases.

(f) Open Market Operations: Open Market Operations refers to buying and selling of government securities (bonds) by the Central Bank from/to the general public. It is an important step which may be undertaken to control money supply in the economy. The Central Bank may sell government securities to reduce the money supply in the hands of general public and vice-versa. **[Any Two]**

(ii) Qualitative Credit Control:

(a) Margin Requirements: The Margin Requirement of loan refers to the difference between the current value of the security offered and amount of loan granted. When margin requirement is lowered by the Central Bank, the borrowers are able to secure larger amount of funds from the banks which will increase the money supply in the economy. Conversely, a rise in the margin requirements will contract the supply of credit in the economy.

(b) Moral Suasion: It is a method of request and advice to the commercial bank in which central bank converse the heads of the commercial banks and explain them the need to follow some monetary policy. It also persuades the commercial bank not to grant credits for speculative and non-essential activities.

(c) Credit Rationing: In this method, the central bank can give directions to the commercial banks not to give credit for certain purposes or to give more credit for particular purposes or to the priority sectors.

(d) Publicity: Central Bank uses media for the publicity of its views on the market conditions and its directions that will be required to be implemented by the commercial banks. On the basis of these research and reports of the Central Bank, the commercial bank bring change in their policies and practices. **[Any Two]**

Examiner's Comment

- Many candidates wrote instruments of quantitative credit control under qualitative credit control measures and vice versa. Some candidates wrote the meaning of the instrument but did not explain how it helped in controlling the credit.

Answering Tips

- Emphasise on the mechanism of each instrument of credit control.
- Learn both methods of credit control with their subheadings.

OBJECTIVE TYPE QUESTIONS

[A] Multiple Choice Questions

Q.1. With reference to money, which one of the following statements is correct? [ISC 2023]

(A) All paper currency is inconvertible money

(B) Cheque is also a fiat money

(C) Money cannot transfer value from one person to another

(D) M2 = C + DD + OD

Ans. Option (A) is correct.

Explanation: All paper currency is inconvertible money. It means, the issuing authority is not responsible to convert the paper notes into gold or gold coins.

Q.2. RBI has adopted four measures of money supply. In this, M3 comprises: [ISC Semester-II, 2022]

(A) M1 + Saving deposits of post office

(B) M1 + Net time deposits with banks

(C) M2 + Total deposits with post office saving

(D) Cash + Demand deposits + other deposits

Ans. Option (B) is correct.

Explanation: Money supply refers to the total quantity of money held by public in various forms at any point of time in an economy. The main components of money supply are currency held by the public and net-demand deposits held by the commercial banks. M3 = M1 + Time deposits of all commercial banks and co-operative banks (excluding interbank time deposits).

Q.3. The central bank provides, direct or indirect, financial assistance to the commercial bank when the latter is facing severe liquidity problem. Hence, central bank: [ISC Semester-II, 2022]

(A) has a monopoly of note issue

(B) acts as banker to the government

(C) acts as controller of credit

(D) acts as lender of the last resort

Ans. Option (D) is correct.

Explanation: As banker to the banks, the Central Bank acts as the lender of the last resort. It means, in case the commercial banks fail to meet their financial requirements from other sources, they can, as a last resort, approach to the Central Bank for loans and advances. The Central Bank assists such banks through discounting of approved securities and bills of exchange.

Q.4. Demand deposits include:

(A) Saving account deposits and fixed deposits.

(B) Saving account deposits and current account deposits.

(C) Current account deposits and fixed deposits

(D) All types of deposits.

Ans. Option (B) is correct.

Explanation: Demand deposits include saving account deposits and current account deposits because these are very liquid and can be used immediately to purchase goods and services.

Q.5. Demand Deposits include_____ and _____. (Fill up the blank with correct alternative)

i. **Saving account deposits**
ii. **Fixed deposits**
iii. **Current Account Deposits**
iv. **Post Office Savings**

Alternatives:

(A) i and ii **(B)** ii and iii
(C) i and iii **(D)** i and iv

Ans. Option (C) is correct.

Explanation: Demand deposits include those deposits which can be given to the depositor by the commercial banks on demand. It includes 'Saving account deposits' and 'current account deposits'.

Q.6. Money can be used to transfer purchasing power from the present to the future. Which specific function of money is this called?

(A) store of value
(B) unit of account
(C) medium of exchange
(D) double coincidence of wants

Ans. Option (A) is correct.

Explanation: Store of value function of the money states that money can be stored for future purchases that is the purchasing power can be transferred from present to the future. In case of unit of account function of money, money can be used as a means to calculate the value of all the things. Medium of Exchange function of money states that money can be used to purchase goods instead of using the other good that was done in the case of Barter system.

Q.7. Which of the following statements is true? [OEB]

(A) All financial institutions are banking institutions.
(B) RBI has the complete authority to issue currency notes.
(C) The government of India issues currency notes.
(D) Banking institutions issue currency notes.

Ans. Option (B) is correct.

Explanation: The Central Bank undertakes this function of being a monopolist in issuing currency to maintain uniformity of currency across nation and to control money supply process at a centralised level.

Q.8. Which of the following is not the function of the central bank?

(A) Banking facilities to government
(B) Banking facilities to public
(C) Lending to government
(D) Lending to commercial banks

Ans. Option (B) is correct.

Explanation: Commercial Banks deals with public directly by accepting and lending deposits.

Q.9. Ms Sakshi, an economics teacher, was explaining the concept of 'minimum percentage of the total deposits to be kept by any commercial bank with the Central Bank of the country, as per norms and statute prevailing in the country'.

From the following, choose the correct alternative which specifies towards the concept explained by her?

(A) Cash Reserve Ratio
(B) Repo Rate
(C) Bank Rate
(D) Statutory Liquidity Ratio

Ans. Option (A) is correct.

Explanation: Ms. Sakshi, an economics teacher explained the concept of 'cash reserve ratio' by saying that minimum percentage of the total deposits (net demand and time deposits) which is kept by any commercial bank with the central bank. Because through Cash reserve ratio, Central bank is able to control the money supply.

Q.10. Identify which of the following is not a function of the Reserve Bank of India? (Choose the correct alternative)

(A) To act as the banker to the Government of India.
(B) To act as the custodian of the gold reserve of India
(C) To act as the financial advisor to the Government of India
(D) To issue coins and one rupee note

Ans. Option (D) is correct.

Explanation: RBI, i.e., central bank of India performs various functions such as banker to the government of India, custodian of gold reserve of India, financial advisor to government of India, also act as banker to commercial banks. But RBI does not perform the function of issue of coins and one-rupee notes. This function of issue of one rupee notes and coins is performed by ministry of finance.

[B] Assertion Reason Questions

Directions: In the following questions, a statement of Assertion (A) is followed by a statement of Reason (R). Mark the correct choice as:

(A) Both Assertion (A) and Reason (R) are true and Reason (R) is the correct explanation of Assertion (A).
(B) Both Assertion (A) and Reason (R) are true but Reason (R) is not the correct explanation of Assertion (A).
(C) Assertion (A) is true but Reason (R) is false.
(D) Assertion (A) is false but Reason (R) is true.

Q.1. Assertion (A): M1 is most liquid measure and easiest for transactions.

Reason (R): M4 is least liquid among all measures of money supply. **[OEB]**

Ans. Option (B) is correct.

Explanation: M1 is most liquid easiest for transactions as it includes most liquid assets such as currency with public. demand deposits, and traveller's cheques. M4 is least liquid as it cannot be converted into cash quickly.

Q.2. Assertion (A): Money acts as a medium of exchange for all goods and services.

Reason (R): The use of money has greatly facilitated process of exchange by dividing it into two parts i.e. sale and purchase. **[OEB]**

Ans. Option (A) is correct.

Explanation: Money is anything which is generally accepted as a means of exchange, a measure and store of value and which also acts as standard of

deferred payments. Money is anything which is generally accepted as a means of exchange, a measure and store of value and which also acts as standard of deferred payments.

Q.3. Assertion (A): Central Bank regulates and supervises the commercial banks.

Reason (R): The Central Bank of India is Reserve Bank of India (RBI). **[OEB]**

Ans. Option (B) is correct.

Explanation: Central Bank is an apex bank in an economy which is entrusted with the task to control, regulate and supervise the entire banking operations of all the commercial banks including formulation and implementation of monetary policy in the economy. The central bank of India is Reserve Bank of India (RBI).

Q.4. Assertion (A): Currency notes issued by the Central Bank are the legal tender money.

Reason (R): Central bank has an issue department, which is solely responsible for the issue of notes. **[OEB]**

Ans. Option (B) is correct.

Explanation: The Central Bank has the sole monopoly to issue currency notes. Commercial banks cannot issue currency notes. Currency notes issued by the central bank are the legal tender money. Legal tender money is one, which every individual is bound to accept by law in exchange for goods and services and in the discharge of debts. Central Bank has an issue department, which is solely responsible for the issue of notes.

Q.5. Assertion (A): Central Bank is a regulator of the commercial bank.

Reason (R): Commercial banks work in accordance with the regulations of the central bank. **[OEB]**

Ans. Option (A) is correct.

Explanation: Central Bank is a regulator of the commercial bank. Central Bank keeps the cash balances of commercial banks and issues loans to them on requirements in the same manner as the commercial bank does for its customers. A Central Bank has almost the same relation with the other commercial banks of the country that the commercial banks have with the common public.

Case Based Questions

[A] Multiple Choice Questions

I. Read the below case and answer the questions that follow:

In a 40-minute long speech Prime Minister Narendra Modi announced the demonetisation of existing notes of ₹ 500 and ₹ 1,000 during a televised address on Tuesday evening. Modi announced that the notes of ₹ 500 and ₹ 1,000 "will not be legal tender from midnight tonight" and these will be "just worthless pieces of paper. PM also urged people to 'join this mahayojna against the ills of corruption. – "What is demonetisation and why was it done?" **[OEB]**

(a) Under whose purview does the issue of new currency fall in?

(A) Reserve Bank of India
(B) Central Government of India
(C) State Government
(D) All of the above

Ans. Option (A) is correct.

Explanation: The Central Bank plays the role of the sole note issuing authority in the economy.

(b) Which two currency denominations were demonetised?

(A) ₹ 100 and ₹ 500 **(B)** ₹ 500 and ₹ 2,000
(C) ₹ 1,000 and ₹ 2,000 **(D)** ₹ 500 and ₹ 1,000

Ans. Option (D) is correct.

(c) _____ is issued by the government of India.

(A) Coins **(B)** ₹500 note
(C) ₹1000 note **(D)** All of these

Ans. Option (A) is correct.

Explanation: It is the sole responsibility of the Government of India to mint coins of all denominations.

(d) ₹1 currency note is issued by _____.

(A) Finance Ministry **(B)** RBI
(C) NITI Aayog **(D)** None of the above

Ans. Option (A) is correct.

Explanation: The one rupee note and coins are issued by ministry of finance and it bears the signature of Finance Secretary.

(e) Which of the following is not a function of the central bank?

(A) Issue of currency notes.
(B) Banker to the bank
(C) Supervisor to the Bank
(D) Creation of Credit.

Ans. Option (D) is correct.

Explanation: Creation of credit is the function of the commercial bank.

[B] Subjective Based Questions

I. For an understanding of inflation, observing money supply growth as opposed to just reserve money growth, is very important.

Milton Friedman said in 1970 that "inflation is always and everywhere a monetary phenomenon". The pendulum has now swung to the other extreme. Today's discussions on inflation make no reference to money. Neither extreme positions are valid.

In the process of money creation, credit goes either to government or business sector. Depending on the situation, money creation may have greater effect on output or greater impact on prices.

It is true that the focus of policy these days is more on price (interest rate) than quantity (money). But the two are interrelated. At the equilibrium, both the quantity and price are determined.

The preceding discussion takes me to the main point that recent discussions on inflation in India in the Monetary Policy Statements tend to ignore money, even though there is reference to liquidity. The two

(money and liquidity) are close but not identical, depending what definition of liquidity one takes. Mainly the discussions centre around the supply disruptions due to domestic or external factors. They do explain the behaviour of individual prices but not general price level which is what inflation is about.

[OEB]

(a) Define the concept as shown in the article?

Ans. The continuous price rise in the economy due to the increase in the money supply is called inflation.

(b) How does money supply affect inflation?

Ans. The increase in the money supply leads to inflation as the purchasing power of the people in the economy increases and so the consumption expenditure increases, increasing the aggregate demand.

(c) Name and define the two types of inflation?

Ans. The two types of inflation are:

(i) Demand – pull inflation: It occurs when the demand for goods and services exceeds the supply available at existing prices, i.e., when there is excess demand for goods and services.

(ii) Cost – push Inflation:
Cost-push inflation refers to a situation in which the prices instead of being pulled up by demand factors may also be pushed up as a result of rise in the cost of production.

(d) How can money supply be measured in India?

Ans. In India, RBI uses four measures of money supply. These are M1, M2, M3 and M4.

Measures of M1 include :

(i) Currency notes and coins with the public (excluding cash in hand of all commercial banks)

(ii) Demand deposits of all commercial and co-operative banks excluding inter-bank deposits. (DD),

(iii) Other deposits with RBI
Thus, M1 = C + DD + OD

- Measures of M2:

(a) M1

(b) Post office saving deposits

- Measures of M3:

(a) M1

(b) Time deposits of all commercial and co-operative banks.

- Measures of M4:

(a) M3

(b) Total deposits with the post office saving organization (excluding national savings certificates).

(e) Explain the concept of high – powered money.

Ans. High-powered money is money produced by the RBI and the government. It consists of two things:

(i) currency held by the public.

(ii) Cash reserves with the banks.
The Central Bank money is sometimes called high-powered money or the monetary base. It consists of currency (notes and coins held by the public and the banks) and the deposits held by the banks as reserves with the central bank. The term high-powered reflects the fact that an increase in the central bank money leads to more than one-for-one increase in the overall money supply.

III. The Reserve Bank is likely to maintain status quo on interest rates in its forthcoming monetary policy review but may change the stance in view of retail inflation piercing its upper tolerance limit, global uncertainties created by the ongoing Russia-Ukraine war, and the urgency to protect and boost growth, feel experts. The RBI Governor-headed rate setting panel -- Monetary Policy Committee (MPC) -- will be holding its first meeting of the 2022-23 fiscal from April 6 to 8. The outcome will be announced on April 8.

Aditi Nayar, Chief Economist of ICRA Limited, said in the April 2022 policy review, the MPC is expected to revise up its Consumer Price Index-based inflation forecast, whereas the growth projections for 2022-23 would be pared.

"Nevertheless, the MPC is unlikely to sacrifice growth to control imported inflation. With the upper threshold of the medium-term inflation target range being as high as 6 per cent, the MPC is likely to remain growth supportive for longer than other central banks. Overall, we expect a status quo policy in April 2022," she said.

[OEB]

(a) As per the article who controls the monetary policy?

Ans. The RBI through the Monetary Policy committee controls the monetary Policy in India.

(b) What do you mean by monetary policy?

Ans. The quantitative and qualitative credit control measures used by the RBI to control the money supply in the economy is called monetary policy.

(c) Explain any two qualitative credit control measure that the RBI can use to control credit.

Ans. **(i) Margin Requirements:** The Margin Requirement of loan refers to the difference between the current value of the security offered and amount of loan granted. When margin requirement is lowered by the Central Bank, the borrowers are able to secure larger amount of funds from the banks which will increase the money supply in the economy. Conversely, a rise in the margin requirements will contract the supply of credit in the economy.

(ii) Moral Suasion: It is a method of request and advice to the commercial bank in which central bank converse the heads of the commercial banks and explain them the need to follow some monetary policy. It also persuades the commercial bank not to grant credits for speculative and non-essential activities.

(d) Explain any two quantitative credit control measure that the RBI can use to control credit.

Ans. **(i) Repo Rate:** Repo Rate is the rate of interest at which Central Bank lends money to Commercial Banks for short period. Raising Repo Rate makes borrowing by Commercial Banks costlier. So, these banks are forced to raise their lending rates. Since, borrowing becomes costly for people, they borrow less. Banks, therefore, create less credit.

(ii) Reverse Repo Rate: Reverse Repo Rate refers to the rate of interest paid by the Central Bank on deposits made by the Commercial Banks. When it is raised, Commercial Banks are encouraged to make more deposits with Central Bank. As a result, funds available for lending with the Commercial Banks decrease. Their capacity of lending declines and credit creation is less.

(e) Why does monetary policy work even when the actual money supply is managed by the commercial banks?

Ans. The commercial bank creates credit with the help of the liquidity reserve ratio, which is set by the central bank's monetary policy. The minimum legal reserve ratio of cash to deposits fixed by the Central Bank is an important factor which determines the power of banks of creates credit. The higher this ratio, the lower the power of banks to create credit; and the lower the ratio, the higher the power of banks to create credit.

The process of credit creation assumes that banks stick to the required reserve ratio fixed by the Central Bank. If banks keep more cash in reserves than the legal reserve requirements, their power to create credit is limited to that extent. If Bank A , for example keeps 25 % of ₹ 1000 instead of 20 %, it will lend ₹750 instead of ₹ 800. Consequently, the amount of credit creation will be reduced even if the other banks in the system stick to the legal reserve ratio of 20 %.

Solutions for Practice Questions (Topic-1)

1 Mark Questions

3. Money can be defined as performing the functions of medium of exchange, measure of value, store of value and standard of deferred payment, etc.

3 Marks Questions

5. Primary functions:

(i) Medium of Exchange: Money serves as a medium of exchange. This is the main and most important function of money. Money carries the capacity to purchase goods and services which people need. Money is normally accepted as a medium through which all the sales and purchase takes place. As the money is being accepted as a common medium of exchange it has eliminated the difficulties of barter system. It has avoided the wastage of time and resources and has eliminated the need for double coincidence of wants involved in the barter.

(ii) Measure of Value: Money is accepted as a common measure of value or unit of account. Under the barter system, the price of a commodity was expressed in terms of other commodities. The goods in terms of which the prices of all other goods are expressed is called the measure of value. In modern economies, prices of all goods are expressed in terms of money

Examiner's Comment

- Some candidates wrote the secondary functions of money instead of primary functions.

Answering Tip

- Learn the primary functions with reference to the in conveniences of the barter system.

4 Marks Questions

2. The four important functions of money are:

(i) Medium of Exchange: Money serves as a medium of exchange. This is the main and most important function of money. Money carries the capacity to purchase goods and services which people need. Money is normally accepted as a medium through which all the sales and purchase takes place. As the money is being accepted as a common medium of exchange it has eliminated the difficulties of barter system. It has avoided the wastage of time and resources and has eliminated the need for double coincidence of wants involved in the barter.

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(iii) Standard for Deferred Payments: Money acts as a standard of deferred payment. It means payment to be made in future can be expressed in terms of money. This function of money has been derived from medium of exchange function of money. In modern economy, many transactions involve the deferred payment. It is possible to accept money as a standard of deferred payment because money has a general acceptability, and it can be expressed in definite and standardized units. For example, A lends ₹ 1,000 to B for a year. He knows well what he will receive after a year. On the other hand. A lends 1 kg rice to B for a year, it is not definite that he will receive back the rice of same quality as he lends out now.

(iv) Store of Value: Money acts as a store of value. It means people can store their wealth in the form of money. Before the evolution of money it was not always possible to store the wealth. As the perishable commodities. i.e., wheat, rice, vegetables, which were not needed at a time, could not be stored for a long time, money has facilitated the store of value. Though there are some other things which can be stored like money as gold, bond, shares, debentures, etc. but money is considered a better storage of value particularly in one respect, that is as a perfectly liquid asset, which means that it is readily and generally acceptable means of payment. It possesses the immediate purchasing power which other goods does not. Thus, in the form of money, purchasing power can be stored and can be used, at any time as and when needed.

Solutions for Practice Questions (Topic-2)

1 Mark Questions

3. Central Bank is the apex bank which performs the various functions such as lender of last resort, Banker to the government, banker to the banks, issuer of currency etc.

2 Marks Questions

2. When consumer gets an overdraft facility from a bank, this means that he is allowed to draw cheques in excess of the balance standing to his credit to the extent of the amount of overdraft. The bank charges interest only on the amount overdrawn. **[ISC Marking Scheme, 2018]**

Examiner's Comment

- Many candidates did not mention that, in case of an overdraft, interest is charged by the banks on the amount overdrawn. Most of the candidates, instead of writing that overdraft implies the overdrawing from a current account, wrote that it means the withdrawal of the amount from the account.

Answering Tip

- Clearly analyse the difference between withdrawals of an amount from any account and overdrawn from any account.

3 Marks Questions

4. **Repo rate:** or repurchase rate is the rate of interest at which RBI lends to banks for short- periods against government bonds. This is done by RBI by buying governments bonds from banks with an agreement to sell them back at a fixed rate. If RBI wants to make it more expensive to borrow money, it increases the repo rate. Similarly, if it wants to make it cheaper for banks to borrow money, it reduces the repo rate.

   Reverse repo rate: is the rate of interest at which the RBI borrows from different banks for short period. This is done by selling government bonds to banks. The banks utilises the reverse repo rate facilities to deposit their short –term excess funds with the RBI to earn interest on it.

   [ISC Marking Scheme, 2017]

Examiner's Comment

- While explaining the meaning of repo-rate and reverse repo-rate -'short period' and 'government bonds' respectively, were not mentioned by a number of candidates. Some candidates wrote 'repo rate' in place of 'reverse repo rate' and vice versa.

Answering Tip

- Stress upon key words such as short period and government bonds while learning repo-rate and reverse repo-rate. The difference between 'bank rate' and repo rate must be learnt.
- The students need to understand that credit plays an important role in commercial banks activities and also the role of money in this system.

REFLECTION

(a) Can you explain all the functions of money?
(b) Do you understand the concept of money supply?
(c) Do you know what is inflation and the types of inflation?
(d) Do you understand the difference between the functions of commercial banks and central bank?
(e) Can you explain the different methods of credit control adopted by the central bank?